Labor Market Facts, Measurement, and Canonical Questions

Labor I — Week 1

Teaching deck draft

Week 1 question

- Which measured labor-market objects organize the rest of Labor I and Labor II?
- How much interpretation is already fixed by the way those objects are constructed?
- Why are descriptive facts part of identification rather than just background?

The field starts with a short list of objects

- Employment, unemployment, labor-force participation
- Hours, hourly wages, weekly earnings, compensation
- Worker transitions across states, jobs, and firms
- Group gaps and dispersion

Four Week 1 distinctions: stocks versus flows, prices versus quantities, worker outcomes versus firm outcomes, levels versus composition-adjusted change.

Measurement map

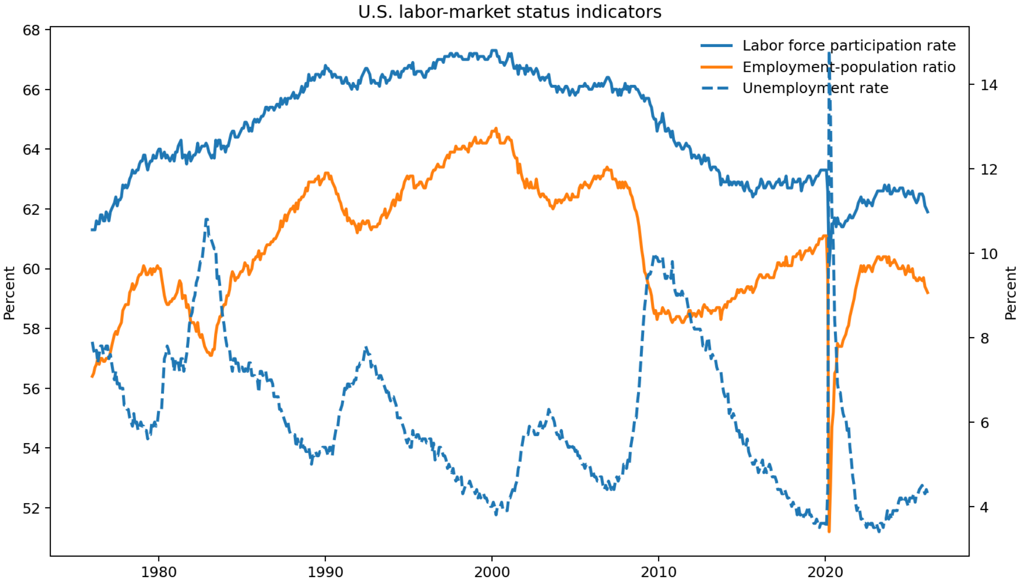
Object	Unit	Why it matters
Employment / unemployment / LFPR	Person-month	Extensive-margin attachment and slack
Hours worked	Worker-week or year	Intensive margin conditional on work
Hourly wage	Worker-job or worker-week	Price of labor
Weekly earnings	Worker-week	Wage plus hours
Compensation	Job or worker-job	Total reward, not just cash pay
Transitions	Matched month or linked records	Flows, mobility, frictions

Labor-market accounting identity

$$\frac{E_t}{P_t} = \frac{L_t}{P_t}\,(1 - u_t)$$

- Employment-population ratio bundles participation and employment conditional on labor-force attachment.
- A decline in employment can come from weaker participation, weaker job finding, or both.
- Week 2 labor supply and later friction models reuse exactly this accounting.

Labor-market status dashboard

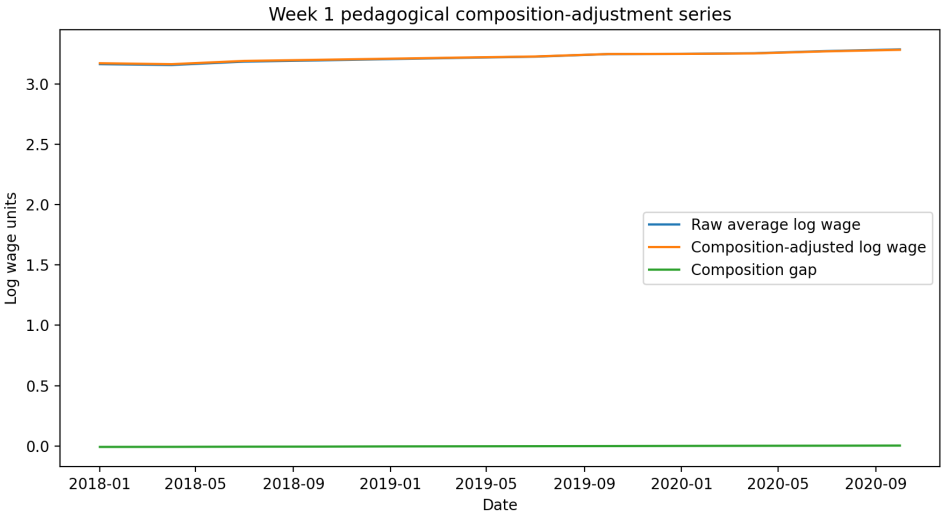


Composition versus within-group wage change

$$\Delta \bar{w}_t = \sum_g (s_{gt} - s_{g,t-1})\, \bar{w}_{g,t-1} + \sum_g s_{g,t-1} (\bar{w}_{gt} - \bar{w}_{g,t-1}) + R_t$$

- Aggregate wages move because worker shares change and because within-cell wages change.
- Week 1 should not call either object “the wage” without saying which one.
- This is the bridge to the Daly–Hobijn lab.

Daly–Hobijn bridge



What the opening facts do for the rest of the course

Week 1 object	Where it returns
Employment-population ratio versus unemployment	Labor supply, aggregate adjustment, frictions
Weekly earnings versus hourly wages	Human capital, inequality, discrimination
Group heterogeneity in participation and pay	Households, gender, mobility, policy
Composition-adjusted versus raw wage growth	Business cycles, policy evaluation, code labs
Source choice and unit of observation	Methods and firm-side modules

Takeaways

- Week 1 is a map of recurring empirical objects, not a grab bag of facts.
- Measurement, description, mechanism, and identification should not be collapsed.
- Top-line aggregates are often mixtures of several margins.
- Later theories earn their place by explaining the objects defined here.